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1. Price Impact in Closing Auctions, Opening Auctions, and Continuous Markets: A Benchmark for Cost of Trading on Anomalies

Authors: Amit Goyal, Narasimhan Jegadeesh, Yanbin Wu

DOI: [10.1017/s0022109026102592](https://doi.org/10.1017/s0022109026102592)

Fields & Theories:

- **Fields:** Market Microstructure, Asset Pricing, Trading Costs
- **Theories:** Price Impact, Liquidity Analysis, Anomalies

Abstract:

Closing auctions account for about 10% of daily trading volume and offer a potentially attractive alternative to trading in the continuous market. We find that the price impact is lower in closing auctions than in the continuous market for all stocks except Nasdaq microcaps. Opening auctions are illiquid. We compute trading costs for anomalies based strategies by strategically placing orders in the lower cost mechanism. The annualized trading costs for long/short portfolios based on financial ratios such as profitability and investment range from 17 to 41 basis points (bps). Excluding microcaps, these costs fall to 9–21 bps in closing auctions.

Goyal - Price Impact in Closing Auctions, Opening Auctions, and Continuous Markets
A Ben.pdf

2. Swimming Against the Current: Contrarian Retail Trading

Authors: Brad Cannon, Hannes Mohrschladt

DOI: [10.1017/s0022109026102737](https://doi.org/10.1017/s0022109026102737)

Fields & Theories:

- **Fields:** Behavioral Finance, Household Finance, Asset Pricing
- **Theories:** Disposition Effect, Belief Updating, Contrarian Behavior

Abstract:

Retail investor contrarian selling depends on whether a position is at a gain or a loss. Selling propensity increases in daily returns for positions with unrealized gains (contrarian selling) and decreases in returns for loss positions (trend-following selling). This pattern is consistent with behavioral arguments that investors update their beliefs when stock prices move away from their purchase prices. In line with increased liquidity from contrarian selling, illiquid stocks exhibit weaker short-term reversals when investors have higher unrealized capital gains. Our findings diminish following stock splits, suggesting that unrealized capital gains are central to contrarian behavior, particularly when investors perceive them clearly.

Cannon - Swimming Against the Current Contrarian Retail Trading.pdf

3. Personal Financial Information Presentation and Consumer Spending

Authors: Yaron Levi

DOI: [10.1017/s0022109026102749](https://doi.org/10.1017/s0022109026102749)

Fields & Theories:

- **Fields:** Household Finance, Behavioral Finance, Financial Regulation
- **Theories:** Information Design, Framing Effects, Salience, Randomized Controlled Trial

Abstract:

We study whether information design influences consumer behavior in a randomized field experiment with users of an online account aggregation app. Participants received a personalized index representing their

net worth as a lifetime monthly cash flow. The presentation of this index varied across treatments in its framing and the salience of its display. Consumers exposed to a consumption-oriented frame and a salient comparison of the index with their past spending reduced discretionary spending. These findings show that minor variations in information presentation can significantly affect financial behavior, highlighting the power of design in promoting saving and informing policy and regulation.

Levi - Personal Financial Information Presentation and Consumer Spending.pdf

4. Credibility of Mandatory Disclosure by Credit Rating Agencies and Market Feedback

Authors: Jaewoo Kim, Seyoung Park, Ryan Wilson

DOI: [10.1017/s0022109026102725](https://doi.org/10.1017/s0022109026102725)

Fields & Theories:

- **Fields:** Financial Intermediation, Credit Rating Agencies, Corporate Finance, Information Asymmetry
- **Theories:** Market Feedback, Managerial Learning, Information Asymmetry, Natural Experiment

Abstract:

Using the Credit Rating Agency Reform Act of 2006, we examine the effect of the credibility of mandatory disclosure by credit rating agencies (CRAs) on market feedback. We find an increase in investment-price sensitivity for firms affected by the act, and the increase is enhanced when managers have greater incentives to glean information from prices—when firms are exposed to multiple dimensions of uncertainty, have higher growth options, face more competition, have less informed managers, or have higher accounting fraud risk. Our findings suggest that the greater credibility of CRA mandatory disclosure improves managerial learning from stock prices.

Kim - Credibility of Mandatory Disclosure by Credit Rating Agencies and Market Feedback.pdf

5. Rewriting CRSP's History: Impact of Altered Monthly Returns on Asset Pricing

Authors: Patrick Schwarz, Dominik Walter, Patrick Weiss

DOI: [10.1017/s0022109026102774](https://doi.org/10.1017/s0022109026102774)

Fields & Theories:

- **Fields:** Asset Pricing, Empirical Finance
- **Theories:** Measurement Error, Robustness Analysis, Empirical Methodology

Abstract:

In January 2025, CRSP discontinued the existing stock tape used in many published papers. This transition rewrites 9.62% of monthly returns by more than 1 basis point (bp), primarily due to a change in the dividend reinvestment assumption. Analyzing the impact for a comprehensive set of premia in several thousand sorting specifications reveals that, on average, 11.43% of all monthly long-short returns differ by more than 10 bp—especially in early periods, NBER recessions, and return-based sorts. Reassuringly, average premia and their significance remain largely unaffected, suggesting CRSP changes mainly introduce unsystematic variation without altering key asset pricing conclusions.

Schwarz - Rewriting CRSP's History Impact of Altered Monthly Returns on Asset Pricing.pdf

6. M&As Efficiency Gains: Evidence from Branch-Level Data

Authors: Lucas Argentieri Mariani, Bernardo Ricca

DOI: [10.1017/s0022109026102786](https://doi.org/10.1017/s0022109026102786)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Corporate Finance, M&A
- **Theories:** Internal Labor Markets, Productivity Analysis, Resource Allocation

Abstract:

We examine how banks reallocate employees following mergers and acquisitions (M&As) and the resulting effects on productivity. Using matched employee–branch data combined with branch-level financial information, we show that M&As expand internal labor markets and trigger substantial worker redeployment. Newly consolidated banks reassign high-ability loan officers to acquirer branches, increasing productivity. Target branches also experience productivity improvements, primarily driven by restructuring and cost reductions. These effects are strongest in municipalities where the combined pre-merger internal labor markets of the target and acquirer were larger, highlighting the central role of internal labor markets in generating efficiency gains from consolidation.

Mariani - M&As Efficiency Gains Evidence from Branch-Level Data.pdf

Review of Finance

1. Competition, complexity, and security design: evidence from retail investment products

Authors: Marc Chesney, Felix Fattinger, Jonathan Krakow, Simon Straumann

DOI: [10.1093/rof/rfag001](https://doi.org/10.1093/rof/rfag001)

Fields & Theories:

- **Fields:** Financial Intermediation, Household Finance, Security Design
- **Theories:** Strategic Complexity, Information Asymmetry, Product Differentiation

Abstract:

We investigate the role of strategic security design in the market for retail investment products. Focusing on a dominant yet understudied design feature, we provide evidence consistent with issuers' strategic increase of product complexity to mitigate price competition. Complexity facilitates product differentiation, thereby impairing investors' ability to compare products. Because more complex products entail greater markups, imply higher tail risk, and are first-order stochastically dominated by simpler products, the empirically observed rise in market complexity increases uncompensated risk-taking, particularly among less sophisticated investors. Overall, our findings indicate that complexity is shaped by issuers' deliberate design choice to preserve product rents.

Chesney - Competition, complexity, and security design evidence from retail investment pro.pdf

2. Non-compete agreements and labor allocation across product markets

Authors: Clemens Mueller

DOI: [10.1093/rof/rfag006](https://doi.org/10.1093/rof/rfag006)

Fields & Theories:

- **Fields:** Corporate Finance, Labor Finance, Innovation
- **Theories:** Difference-in-Differences, Labor Mobility Constraints, Matching Theory, Resource Allocation

Abstract:

I analyze the effect of non-compete agreements (NCAs) on the allocation of inventors across product markets. NCAs constrain the within-industry employment choice set of inventors. In a staggered difference-in-differences, I show causal effects that two in hundred inventors per year (increase of 42 percent) respond to more enforceable NCAs by moving to more distant product markets. Across-industry mobility is largest for inventors likely bound by NCAs. Within-industry mobility on the other hand is reduced. Reallocated

inventors are subsequently less productive and there is a lower quality match between inventors and their new employers. I highlight how product market choice set constraints can have detrimental effects through reallocation of human capital to more distant product markets.

Mueller - Non-compete agreements and labor allocation across product markets.pdf

3. Hacking corporate reputations

Authors: Pat Akey, Stefan Lewellen, Inessa Liskovich, Christoph Schiller

DOI: [10.1093/rof/rfag009](https://doi.org/10.1093/rof/rfag009)

Fields & Theories:

- **Fields:** Corporate Finance, ESG/Sustainable Finance, Information Asymmetry
- **Theories:** Reputation Theory, Stakeholder Theory, Signaling, Agency Theory

Abstract:

We exploit unexpected corporate data breaches to study the loss and repair of corporate reputation. Reputation loss decreases equity and brand values, increases customer churn, and prompts more negative media coverage. Firms repair their reputation by increasing their charitable donations and have CSR scores that are more than 0.5 standard deviations higher. They increase political contributions, employee wages, and IT investment. These actions are targeted to stakeholders that are particularly important or in situations that are particularly salient to their stakeholders. We observe similar dynamics of reputation loss and repair following the release of negative news about firms' social behaviors.

Akey - Hacking corporate reputations.pdf

The Review of Financial Studies

1. Asset Overhang and Technological Change

Authors: Hans Degryse, Tarik Roukny, Joris Tielens

DOI: [10.1093/rfs/hhaf103](https://doi.org/10.1093/rfs/hhaf103)

Fields & Theories:

- **Fields:** Corporate Finance, Financial Intermediation, ESG/Sustainable Finance
- **Theories:** Asset Overhang, Agency Theory, Shift-Share Design

Abstract:

Investors face reduced incentives to finance technological change that devalues their legacy investments. We formalize this "asset overhang" and apply our framework to the climate-banking nexus. Leveraging (1) firm-level data on green innovation and diffusion and (2) the sets of product and technology market peers, we implement a shift-share design that identifies banks' credit facilities impacted by green firm activities. We find that green firms imposing an asset overhang across all lenders are 3 to 7 percentage points more likely to report tight credit supply conditions. The presence of legacy-free investors mitigates the asset overhang problem, thereby facilitating technological change.

Degryse - Asset Overhang and Technological Change.pdf

2. Machine Learning and the Implementable Efficient Frontier

Authors: Theis Ingerslev Jensen, Bryan Kelly, Semyon Malamud, Lasse Heje Pedersen

DOI: [10.1093/rfs/hhag022](https://doi.org/10.1093/rfs/hhag022)

Fields & Theories:

- **Fields:** Asset Pricing, Portfolio Management, Machine Learning

- **Theories:** Modern Portfolio Theory, Transaction Cost Analysis, Economic Objective Function

Abstract:

We propose that investment strategies should be evaluated based on their net-of-trading-cost return for each level of risk, which we term the “implementable efficient frontier.” While numerous studies use machine learning return forecasts to generate portfolios, their agnosticism toward trading costs leads to excessive reliance on fleeting small-scale characteristics, resulting in poor net returns. We develop a framework that produces a superior frontier by integrating trading-cost-aware portfolio optimization with machine learning. The superior net-of-cost performance is achieved by learning directly about portfolio weights using an economic objective. Further, our model gives rise to a new measure of “economic feature importance.”

Jensen - Machine Learning and the Implementable Efficient Frontier.pdf

3. Too Many Managers: The Strategic Use of Titles to Avoid Overtime Payments

Authors: Lauren H Cohen, Umit G Gurun, N Bugra Ozel

DOI: [10.1093/rfs/hhag016](https://doi.org/10.1093/rfs/hhag016)

Fields & Theories:

- **Fields:** Corporate Finance, Labor Finance, Financial Regulation
- **Theories:** Regulatory Arbitrage, Agency Theory, Financial Constraints

Abstract:

We find widespread evidence that firms avoid overtime payments by strategically assigning “managerial” titles. Exploiting the exemption threshold under the Fair Labor Standards Act (FLSA), we find managerial titles increase almost fivefold just above the overtime pay cutoff, including suspect listings, such as “Director of First Impressions” for a role equivalent to “Front-Desk Clerk.” Avoidance is higher when firms have more bargaining power and are financially constrained. It is also more common in occupations with volatile demand and unpredictable worker scheduling. Patterns align with litigation and Department of Labor enforcement. Firms avoid roughly 13.5% in compensation costs, hiring strategic “managers.”

Cohen - Too Many Managers The Strategic Use of Titles to Avoid Overtime Payments.pdf

4. Risk Managers in Banks

Authors: Matthias Efing, Patrick Kampkötter, Vincent Maurin

DOI: [10.1093/rfs/hhag012](https://doi.org/10.1093/rfs/hhag012)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Risk Management
- **Theories:** Incentive Alignment, Moral Hazard, Principal-Agent Model

Abstract:

Some bank regulators require that performance bonuses for risk managers (RMs) and for employees in front offices (FOs) be linked to distinct performance metrics, as correlated pay incentives could lead RMs to rubber-stamp risky investments. We theoretically show that a positive correlation between FOs and RMs is optimal for banks, but can be socially excessive in leveraged institutions. Using data from German bank employees, we show empirically that incentive pay is indeed positively correlated between RMs and FOs. Consistent with our predictions, bonus correlations are higher in banks with higher leverage and weaker performance during the Great Financial Crisis.

Efing - Risk Managers in Banks.pdf

5. Debt Maturity Management

Authors: Yunzhi Hu, Felipe Varas, Chao Ying

DOI: [10.1093/rfs/hhag007](https://doi.org/10.1093/rfs/hhag007)

Fields & Theories:

- **Fields:** Corporate Finance, Capital Structure, Debt Maturity
- **Theories:** Debt Maturity, Agency Theory, Dynamic Capital Structure

Abstract:

This paper studies how a borrower issues long- and short-term debt in response to shocks to the fundamental value. Short-term debt protects creditors from future dilution and incentivizes the borrower to reduce leverage after small negative shocks. Long-term debt postpones default and allows the borrower time to recover after large negative shocks. When borrowers are in distress, they rely on short-term debt; however, they issue both types of debt during more normal periods. Our model generates novel implications for the dynamic adjustment of debt maturities.

Hu - Debt Maturity Management.pdf

6. Excess Commitment in R&D

Authors: Marius Guenzel, Tong Liu

DOI: [10.1093/rfs/hhag026](https://doi.org/10.1093/rfs/hhag026)

Fields & Theories:

- **Fields:** Corporate Finance, Behavioral Finance, Innovation
- **Theories:** Sunk Cost Fallacy, Agency Theory, Escalation of Commitment, Instrumental Variables

Abstract:

We document that firms exhibit “excess” commitment to R&D projects and examine its consequences for innovation outcomes. Using detailed data on pharmaceutical firms’ clinical trial projects, we find that trial delays, empirically uncorrelated with multiple project-quality measures, substantially reduce firms’ subsequent project-termination propensity. This result remains robust when we use variation in clinical trial site congestion to instrument for unexpected delays. Excess commitment intensifies when CEO compensation has greater stock-price sensitivity and the CEO is responsible for the project’s initiation. Our findings have broader implications: delay-driven commitment reduces new drug project initiations, with further evidence suggesting efficiency losses for firms.

Guenzel - Excess Commitment in R&D.pdf

7. The Broader Role of Venture Capital Due Diligence

Authors: Juanita González-Urbe, Robyn Klingler-Vidra, Su Wang, Xiang Yin

DOI: [10.1093/rfs/hhag014](https://doi.org/10.1093/rfs/hhag014)

Fields & Theories:

- **Fields:** Corporate Finance, Venture Capital, Entrepreneurship
- **Theories:** Information Asymmetry, Learning Mechanism, Capability Building, Random Assignment

Abstract:

Analyzing approximately 2,000 applicants to a U.K. seed fund, this study examines how venture capital (VC) due diligence affects startup outcomes independent of funding decisions. Leveraging random reviewer assignment, we find that due diligence increases 2-year growth but lowers continuation rates among non-funded applicants, reflecting a dynamic of accelerated scaling or exit. Evidence points to a learning mechanism: due diligence exposes founders to advanced website technologies, prompting capability building in digital skills. Firms selected for due diligence adopt these technologies, even before raising external capital. The findings highlight VC due diligence as a formative process influencing startups beyond the funded few.

8. The Covenant-Defeasance Option in Corporate Bonds

Authors: Carsten Bienz, Zsuzsanna Fluck, Karin S Thorburn

DOI: [10.1093/rfs/hhag027](https://doi.org/10.1093/rfs/hhag027)

Fields & Theories:

- **Fields:** Corporate Finance, Debt Contracting, Fixed Income
- **Theories:** Agency Theory, Real Options, Contract Theory, Financial Constraints

Abstract:

Corporate bonds include restrictive covenants that may prevent firms from pursuing valuable growth opportunities ex post and are virtually impossible to renegotiate. We study a common but little-known contractual provision—the defeasance option—which allows issuers to immediately remove all covenants without retiring the bond. Our theoretical model predicts, and our empirical analysis confirms, that defeasance inclusion is more likely when covenants are numerous and issuers face financial constraints, uncertainty, and growth opportunities. We also show that investors require lower yields when defeasance is included in noncallable bonds, and higher yields in fixed-price callable bonds, where it raises call risk.

Bienz - The Covenant-Defeasance Option in Corporate Bonds.pdf

9. How Financial Markets Create Superstars

Authors: Spyros Terovitis, Vladimir Vladimirov

DOI: [10.1093/rfs/hhag015](https://doi.org/10.1093/rfs/hhag015)

Fields & Theories:

- **Fields:** Asset Pricing, Market Microstructure, Corporate Finance
- **Theories:** Information Aggregation, Feedback Effects, Resource Allocation, Speculation

Abstract:

By aggregating information into stock prices, financial markets help guide the allocation of resources. We show that speculators without information about firms' fundamentals can exploit this role of prices and profit from inflating firm valuations. Uninformed speculation is profitable because high valuations attract employees, business partners, and investors, creating value at targeted firms at the cost of diverting resources from better firms. Both large and small speculators, without pre-existing stock positions, can profit from uninformed speculation, particularly when targeting firms with moderate Q, operating in "normal" (neither hot nor cold) markets, and using performance pay or equity to attract stakeholders.

Terovitis - How Financial Markets Create Superstars.pdf

10. Incentivizing Effort and Informing Investment: The Dual Role of Stock Prices

Authors: Snehal Banerjee, Jesse Davis, Naveen Gondhi

DOI: [10.1093/rfs/hhag008](https://doi.org/10.1093/rfs/hhag008)

Fields & Theories:

- **Fields:** Corporate Finance, Asset Pricing, Information Economics
- **Theories:** Agency Theory, Moral Hazard, Information Asymmetry, Principal-Agent Model

Abstract:

Stock prices aggregate investor information about investment opportunities and reflect managerial performance. These dual roles may be in tension: when prices are more informative about investment opportunities, they may be less effective at incentivizing managerial effort. This tradeoff has novel consequences.

Lower information costs can lead to both more efficient investment but lower firm value. The principal may strictly prefer to delegate investment to a manager who has no informational advantage and makes ex-post inefficient choices. Investment in diversifying and (ex-ante) negative NPV projects mitigate agency problems. Finally, standard measures of price efficiency provide an incomplete picture of firm value.

Banerjee - Incentivizing Effort and Informing Investment The Dual Role of Stock Prices.pdf

11. The Response of Mortgage Supply to Expected Flood Insurance Lapses

Authors: Zhongchen Hu

DOI: [10.1093/rfs/hhag031](https://doi.org/10.1093/rfs/hhag031)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Real Estate Finance, ESG/Sustainable Finance
- **Theories:** Credit Risk, Monitoring Costs, Natural Experiment, Information Asymmetry

Abstract:

Flooding is among the costliest natural disasters in many countries. To protect collateral, many mortgage borrowers in the United States are legally required to maintain flood insurance. However, lax enforcement leads to frequent policy lapses. This paper shows that lenders provide credit contingent on borrowers' insurance incentives. Exploiting exogenous premium rises (\$266 annually) that disincentivize insurance take-up, I find mortgage denial rates dramatically increase by 0.49–0.81 pp. By comparison, lowering income by \$266 has an effect of only 0.01 pp. Mortgage applicants' composition remains unchanged, refuting demand-side explanations. Evidence suggests lenders internalize ex-post monitoring costs into ex-ante credit restrictions.

Hu - The Response of Mortgage Supply to Expected Flood Insurance Lapses.pdf

12. Who Bears Flood Risk? Evidence from Mortgage Markets in Florida

Authors: Parinitha Sastry

DOI: [10.1093/rfs/hhag030](https://doi.org/10.1093/rfs/hhag030)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Real Estate Finance, ESG/Sustainable Finance
- **Theories:** Credit Rationing, Screening, Information Asymmetry, Risk Management

Abstract:

Government-provided flood insurance contracts have strict coverage limits, leaving some households underinsured against flood risk. This paper exploits these strict coverage limits as well as staggered flood map updates to show that mortgage lenders screen for uninsurable flood risk by requiring lower loan-to-value ratios at origination. This credit rationing leads delinquency rates to equalize inside and outside of flood zones, and shifts the composition of mortgage borrowers in flood zones toward richer and higher credit quality individuals. I conclude that lenders reduce credit supply when they retain residual uninsured exposures to flood risk, which has distributional consequences for flood zones.

Sastry - Who Bears Flood Risk Evidence from Mortgage Markets in Florida.pdf

13. Beliefs and Portfolios: Causal Evidence

Authors: Johannes Beutel, Michael Weber

DOI: [10.1093/rfs/hhag011](https://doi.org/10.1093/rfs/hhag011)

Fields & Theories:

- **Fields:** Behavioral Finance, Household Finance, Asset Pricing

- **Theories:** Expectation Formation, Merton Model, Subjective Mental Models, Randomized Information Experiment

Abstract:

We causally test alternative theories of expectation formation. Using a randomized information experiment we show overreaction is a key feature of individuals' return expectations, and individuals' response to the price-earnings ratio is opposite of academic consensus. Our evidence is inconsistent with standard models of expectation formation, but subjective mental models that deviate from objective benchmarks can jointly explain the updating behavior in the experiment, the link between individuals' prior perceptions and expectations, and the heterogeneity of updating. Conditional on their beliefs, individuals' sensitivity of equity shares in a hypothetical portfolio choice experiment is consistent with the standard Merton model.

Beutel - Beliefs and Portfolios Causal Evidence.pdf

14. The Product Market Effects of Index Inclusion

Authors: Varun Sharma

DOI: [10.1093/rfs/hhag028](https://doi.org/10.1093/rfs/hhag028)

Fields & Theories:

- **Fields:** Corporate Finance, Asset Pricing, Industrial Organization
- **Theories:** Managerial Learning, Product Market Competition, Natural Experiment

Abstract:

I investigate how index membership affects firms' product-market strategy. After plausibly exogenous index inclusion, firms gain market share by reducing product prices, giving better trade credit, and increasing sales and marketing expenses. Firms reduce prices for products with low market share and higher switching costs and habits. This comes at the cost of lower profitability, which increases in subsequent periods. Further analysis suggests that managerial learning about an improved funding environment from the post-index inclusion stock price increase is the underlying channel that leads to the observed increase in investment to gain market share. A model further corroborates these findings.

Sharma - The Product Market Effects of Index Inclusion.pdf

15. Bond Convenience Yields in the Eurozone Currency Union

Authors: Zhengyang Jiang, Hanno Lustig, Stijn Van Nieuwerburgh, Mindy Z Xiaolan

DOI: [10.1093/rfs/hhag018](https://doi.org/10.1093/rfs/hhag018)

Fields & Theories:

- **Fields:** International Finance, Public Finance, Asset Pricing, Fixed Income
- **Theories:** Convenience Yields, Monetary Union, Seigniorage

Abstract:

In a monetary union, the risk-free rate cannot adjust to country-level fiscal positions, leaving only default spreads and convenience yields to respond. Empirically, we find that convenience yields explain a large share of the variation in eurozone (EZ) sovereign bond yields. EZ sovereign bonds earn larger convenience yields when their governments run larger surpluses. Since convenience yields generate substantial seigniorage revenue from debt issuance, our estimates imply economically large fiscal costs from low convenience yields for peripheral countries in the EZ.

Jiang - Bond Convenience Yields in the Eurozone Currency Union.pdf

The Journal of Finance

1. Pricing of Climate Risk Insurance: Regulation and Cross-Subsidies

Authors: SANGMIN S. OH, ISHITA SEN, ANA-MARIA TENEKEDJIEVA

DOI: [10.1111/jofi.70029](https://doi.org/10.1111/jofi.70029)

Fields & Theories:

- **Fields:** Insurance, Climate Finance, Financial Regulation, Real Estate Finance
- **Theories:** Instrumental Variables, Regression Discontinuity Design, Financing Constraints, Cross-Subsidization

Abstract:

Homeowners insurance is central to managing the rising losses from climate-related disasters. We show that insurance premiums are subject to starkly different regulations across states, creating persistent cross-subsidies and price distortions. We employ states' regulatory rules in an instrumental variable estimation and a border discontinuity design to show insurers do not adjust rates in highly regulated states and compensate by raising rates in less regulated states. Rates and risks diverge in the long run, distorting cross-state risk-sharing and increasing insurer exits from highly regulated states. We argue these patterns stem from the interactions between rate regulation and insurers' financing constraints.

OH - Pricing of Climate Risk Insurance Regulation and Cross-Subsidies.pdf

2. Consumer Choice and Corporate Bankruptcy

Authors: SAMUEL ANTILL, MEGAN HUNTER

DOI: [10.1111/jofi.70030](https://doi.org/10.1111/jofi.70030)

Fields & Theories:

- **Fields:** Corporate Finance, Bankruptcy, Industrial Organization
- **Theories:** Indirect Costs of Financial Distress, Structural Modeling, Experimental Economics, Information Asymmetry

Abstract:

We estimate the indirect costs of corporate bankruptcy associated with lost customers. In incentivized experiments, randomly informing consumers about a firm's Chapter 11 reorganization lowers their willingness to pay for the firm's products by 17% to 28%. Consumers worry that bankruptcy could reduce product quality or prevent future interactions with the bankrupt firm. On average, 38% of consumers are aware of major bankruptcies. Using our experiments to estimate a structural model, we show that these indirect costs of bankruptcy amount to 12% to 15% of a firm's value. We show that these costs are unlikely to arise before bankruptcy.

ANTILL - Consumer Choice and Corporate Bankruptcy.pdf

3. Specialization in Banking

Authors: KRISTIAN BLICKLE, CECILIA PARLATORE, ANTHONY SAUNDERS

DOI: [10.1111/jofi.70032](https://doi.org/10.1111/jofi.70032)

Fields & Theories:

- **Fields:** Financial Intermediation, Banking, Corporate Finance
- **Theories:** Information Asymmetry, Specialized Knowledge, Credit Risk, Capital Structure

Abstract:

Using supervisory data on the loan portfolios of large U.S. banks, we document that these banks specialize by concentrating their lending disproportionately in a few industries. This specialization is consistent with banks having industry-specific knowledge, reflected in reduced risk of loan defaults, lower aggregate charge-offs, and higher propensity to lend to opaque firms in the preferred industry. Banks attract high-quality borrowers

by offering generous loan terms in their specialized industry, especially to borrowers with alternative options. Banks focus on their preferred industry in times of instability and relatively lower Tier 1 capital as well as after surges in deposits.

BLICKLE - Specialization in Banking.pdf

4. The Voting Premium

Authors: DORON LEVIT, NADYA MALENKO, ERNST MAUG

DOI: [10.1111/jofi.70037](https://doi.org/10.1111/jofi.70037)

Fields & Theories:

- **Fields:** Corporate Finance, Asset Pricing, Corporate Governance
- **Theories:** Blockholder Governance, Agency Theory, Voting Rights, Free-rider Problem

Abstract:

We develop a unified theory of blockholder governance and the voting premium in a setting without takeovers or controlling shareholders. A voting premium emerges when a minority blockholder can influence shareholder composition by accumulating votes and buying shares from dissenting shareholders. Our theory reconciles conflicting empirical findings by showing that standard measures of the voting premium often misrepresent the true value of voting rights, increased conflicts between the blockholder and small shareholders do not necessarily raise the voting premium, and the voting premium can even turn negative when small shareholders free-ride on the blockholder's trades.

LEVIT - The Voting Premium.pdf
